Chapter Eighteen

Mess in Telecom, Power and Transportation Sectors

Telecom

India’s future as an economy is critically linked with telecom infrastructure. The economy is fast digitalizing and needs to digitalize even faster. Digitalization runs on telecom and fibre. In India, digitalization is riding the mobile revolution. Almost every Indian is connected with a mobile device. The country connects and interacts on telecom infrastructure and devices. Voice telephony, the Internet, social media and businesses all run on telecom today.

Indians love visual content on their mobiles. We consumed 12 gigabytes (GB) of data per person per month in 2019, the highest in the world. This reached 13.5 GB in December 2020, recording over 20 per cent annual growth. It has been estimated that individual data consumption is likely to exceed 25 GB per month by 2025. The average revenue per unit or subscriber of mobile telephone companies was around Rs 150 or about $2 per subscriber for voice, messaging and data in 2020. These rates are the lowest in the world; compared to many advanced markets, they are actually twenty-five to fifty times lower. Indian consumers have the best deal in the world.

When an industry creates so much value and enjoys so much demand, it should be rolling in profits. Yet, the Indian telecom industry has been in dire straits for quite some time. Only three telecom players are left standing, not counting the public-sector sick duo of BSNL and MTNL. One of the three companies, Vodafone Idea, reported a loss of Rs 73,878 crore in 2019–20, the highest ever loss recorded by any Indian company ever.